Meta Platforms, Inc.

META NASDAQ

Hold	$690.95 ▼ 2.05%	12M Price Target	52-Week Range	Market Cap
		$760.00	$520.26 – $779.82	$1.76T

META: AI Capex Fears Spook Bulls, Policy Clouds Linger

WHAT HAPPENED

- META is down ~6% over the past week ($737 → $691) on light volume today (9.6M shares vs the usual 16-20M) — that lighter volume on the way down is actually mildly encouraging because it means there's no panic selling, just a slow bleed. The broader market is rotating HARD into defensive stuff (Healthcare +2.2%, Utilities +1.3%, Real Estate +1.6%) which tells me money is leaving mega-cap tech and hiding out — classic risk-off behavior ahead of earnings season.
- The COO (Javier Olivan) dumped ~$850K worth of stock on Oct 12 right near the recent highs ($728). Insiders selling near a top isn't a crisis, but it IS a yellow flag — he knows what Q3 earnings (coming end of October) look like.

WHY IT MATTERS

Here's what's really going on: the market is bracing for Meta's Q3 earnings and specifically for an upward revision to 2026 capex guidance (currently ~$95-100B). Every time Zuck tells Wall Street he's spending MORE on AI data centers, the stock gets punished short-term — investors want to see when the AI spend turns into AI revenue. The fact that options flow is BULLISH (put/call 0.68, with unusual call buying at $685-$700 strikes) suggests sophisticated traders are betting this dip is a pre-earnings setup, not the start of something worse. Translation: smart money thinks the sell-off is overdone and they're positioning for a bounce — but if earnings disappoint on capex, those calls go to zero and we test $650.

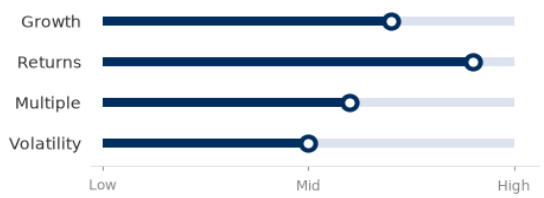
POLICY & POLITICAL WATCH

Two big things to watch: (1) The FTC's antitrust case against Meta (Instagram/WhatsApp divestiture) is grinding through appeals — a loss here would be existential, but timing is probably 2027+. (2) More immediately, the EU's Digital Markets Act enforcement keeps hitting Meta with fines and forcing product changes to Facebook Marketplace and ad targeting. On the US side, watch for any movement on KOSA (Kids Online Safety Act) revival in Congress — if it passes, Meta has to spend big on age verification and content moderation, which hits margins. Flip side: the Trump administration has been notably friendlier to Big Tech on AI regulation (rolling back Biden-era AI executive orders), which is a quiet tailwind for META's Llama/AI strategy because they face fewer compliance hurdles than EU rivals.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$690.95**
12M Price Target	**$760.00**
Upside / (Downside)	**+10.0%**
Market Cap	**$1.76T**
FY2026E Revenue	**$196,000M**
FY2027E Revenue	**$225,000M**
FY2026E EPS	**$27.50**
FY2027E EPS	**$32.00**
Fwd P/E	**25.1x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

META — Meta Platforms, Inc. | October 20, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$740.00**	$705.00	**$650.00**
6 Months	**$820.00**	$760.00	**$620.00**
1 Year	**$900.00**	$780.00	**$580.00**
2 Years	**$1050.00**	$850.00	**$540.00**
5 Years	**$1400.00**	$1000.00	**$500.00**
10 Years	**$2200.00**	$1400.00	**$450.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.2% today, +5.8% this week) and Utilities — classic defensive rotation. Also Real Estate is bouncing because rate-cut expectations are back on the table.

COOLING OFF: Mega-cap tech (not in the top movers list today) — the AI trade is being questioned as investors demand to see ROI on all that capex.

ROTATION WATCH: Money is clearly leaving growth/tech and parking in defensives. This is often a 2-4 week phenomenon that reverses once earnings season actually begins and the big names beat expectations.

RELATED PLAY: If you believe the AI capex boom continues regardless of META's stock price, the "picks and shovels" plays — NVDA (chips), VRT/ETN (data center power), and even utility companies serving data center regions — benefit directly from Meta's spending whether or not Meta's stock works.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Has been outperforming META recently as investors prefer their cleaner AI monetization story through Search and Cloud
- MSFT (Microsoft): Enterprise AI (Copilot, Azure OpenAI) gives them clearer revenue attribution for AI spend than Meta's "it makes our ads better, trust us" story

META CONTEXT: META is LAGGING its mega-cap peers this month, which is a reversal from being the best performer earlier in 2026. This tells me the market is specifically worried about Meta's capex-to-revenue story, not just tech broadly — which means a clean earnings print could trigger an outsized bounce as sentiment resets.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: $660-680 on further pullback

Time Horizon: 12-24 months

Thesis Invalidation: Ad revenue growth drops below 10% YoY or EU/FTC forces structural breakup

Hedging: Buy protective puts or pair with a short on a pure-play AI infrastructure name

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